Skills Assessment



Examiner Report
Advanced Assurance

Term 3
September 2025

Skills assessment

SUBJECT: Advanced Assurance

DIET: Term 3 2025

Commentary on Performance

SECTION 1

You are an audit senior at a firm. You are working on two clients. The first is an existing audit client, and you are at the planning stage. You are responsible for interpreting the audit data analytics (ADA) results in the context of additional narrative to identify audit risks. The second client is a new client, and you are responsible for recommending an overall materiality and trivial threshold.

Question 1

Evaluate the results of the ADA exercise for the purpose of the planning analytical review for Ambrosia.

What was done well	What could be done better
• Most candidates correctly identified and evaluated the results of the audit data analytic procedures: ○ Spare parts aging older than 4 years had increased; ○ Overtime costs were up in March to May; ○ There was a change in top customers; and ○ Accounts receivable aging deteriorated for > 90day balance	• Few candidates noted that a change in customers does not represent a risk to the financial statements. • Some candidates focused on the newer accounts receivable and inventory figures rather than the older ones. • Many candidates missed the relevant marks in relation to the increase/decrease in ratios • Candidates did not always develop their evaluation to explain the impact on the financial statements (i.e. over/understatement of financial statement balances).

Question 2

Evaluate any additional audit risks identified from the review of the information gathered for Ambrosia.

What was done well	What could be done better
• Many candidates identified the potential going concern issue due to the loss of tax rebates in the future. • Many linked the labour shortage to poor workmanship.	• Very few candidates noted the significance of the loss of government incentive and rebates specifically to cashflow. • The shortage of technicians was often picked up as a general comment in discussing payroll, rather than clearly stated as an audit risk. Consequently,

	the warranty provision impact was not clearly stated. • Many candidates linked the material uncertainty relating to going concern to aged receivables, as opposed to the loss of government incentives and rebates.

Question 3

Design substantive procedures in response to the audit risks identified in question 1 and question 2.

What was done well	What could be done better
• Many candidates were able to explain basic procedures in relation to accounts receivable and going concern where they were discussed.	• Responses were often quite generic and so did not address the specific issues presented in the scenario. • Candidates still rely on 'enquire' type procedures which aren't always explained well enough or are tailored enough to the scenario to get the available marks here. • Many candidates placed too much reliance on 'inspection' procedures for inventory, which will provide less relevant audit evidence for cost vs NRV risks. • Many did not discuss going concern procedures even where they had identified going concern as a risk. • Many candidates placed reliance on past trends in relation to provisions procedures. However, this is less relevant where there has been a change in the year. • Few candidates recognised that looking at transactions post year end could help assess the reasonableness of the balances at the year-end (e.g. post year end receipts of accounts receivable balances and warranty claims paid post year end that related to pre year end).

Question 4

Recommend a level for overall materiality and the trivial threshold for Bubble, explaining your reasons.

What was done well	What could be done better
• A majority of candidates answered this question well, working through the steps	• Many candidates did not explain why they had used the benchmark they had

to arrive at a recommended materiality level and trivial threshold.	selected (e.g. profit before tax), which would have attracted more marks. • Weaker candidates did not calculate the range of materiality; rather the percentages were just stated. • Explanations were not always given for the final materiality calculated (i.e. why the lower end of the range was selected).

SECTION 2

You are an audit manager and have been asked to assess the acceptance risks for a manufacturing company. You have also been asked to explain the required elements of the engagement letter as per ISA (UK) 210.

Question 5

Evaluate the acceptance risks, excluding the complexity of the group, in relation to the audit engagement of Aggie.

What was done well	What could be done better
• Many candidates were able to identify and evaluate all the key acceptance risks in the scenario. • Reputation risk was explained well by most candidates, as was the threat to auditor independence from the long-standing friendship between the audit partner and the finance director.	• Some candidates failed to keep in mind the question they were answering. This resulted in responses not being properly tailored. Often the evaluation of the identified risks was from an audit risk perspective rather than acceptance risk perspective. • A number of candidates commented on the complexity of the group even though the question explicitly said that this risk had already been recognised.

Question 6

Recommend further actions that the firm should take, in relation to any identified risks, before the engagement can be accepted.

What was done well	What could be done better
• Most candidates could identify clear actions to take and applied them well to the scenario.	• Some candidates did not link their recommended actions to the acceptance risks identified in Question 5. • Many candidates suggested actions that were related to the audit of the client – not ones to be performed before the engagement was accepted.

Question 7

Explain the required elements of an engagement letter as per ISA (UK) 210.

What was done well	What could be done better
• Candidates tended to identify the responsibilities of management to prepare the financial statements and give access to all information most frequently.	• Many candidates simply listed the headings from the engagement letter. However the requirement stated that explanations were required to gain credit. • A significant number of candidates copied text directly from ISA (UK) 210

	and pasted it as their answer. This is poor exam technique, and would have resulted in few, if any, of the marks available. The requirement clearly states, ‘Explain the required elements of an engagement letter’.

SECTION 3

You are an external consultant working on a sweets manufacturing company. You have been asked to provide advice on the internal controls, particularly in relation to payroll for weekly paid staff.

Question 8

Identify the internal control weaknesses in Torcida's payroll process, explain the potential impact of those weaknesses and make a recommendation as to how those weaknesses should be addressed.

What was done well	What could be done better
• Many candidates correctly identified the internal control weaknesses, explained the impact and provided recommendations as to how these could be addressed.	• When explaining the potential impact of the weaknesses, many candidates did not link this to the potential impact on payroll (i.e. over or understatement of the payroll expense). For example stating that as wage rates had not been reviewed this could mean that changes to minimum wages rates not being reflected in the payroll. Many candidates would then not take this further to say that payroll could be understated to earn maximum marks. • Many candidates made recommendations for weaknesses associated with lack of oversight (here overtime up to 5 hours and review of payroll). However, the recommendations did not reflect the need for the evidence and/or documentation for the recommended control. For example, for overtime not needing authorised: it should be authorised and there should be evidence of the supervisor's authorisation (e.g. a signature). • Where weaknesses were identified some candidates discussed these in relation to their impact on the employees rather than on the financial statements or the company.



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